

Regulatory Cheatsheet

Five Frameworks Applied to AI in Community Banking · v1.1 — October 2026

FIVE REGULATORY FRAMEWORKS

No single law governs AI in banking. These five existing frameworks have been extended to cover it. Per GAO-25-107197 (May 2025), no comprehensive AI-specific banking regulation yet exists — these are the frameworks examiners apply today.

Framework	Regulatory Body	How It Applies to AI Use	Staff-Level Impact
SR 26-2	Federal Reserve / OCC / FDIC	Revised model-risk guidance (April 2026); supersedes SR 11-7. Risk-based: validation, monitoring, and governance scale with model purpose and exposure. Non-binding, most relevant above \$30B in assets, and generative AI is outside its formal scope.	If an AI tool scores, ranks, or flags for credit, fraud, or BSA/AML, treat it as a model: document its purpose, limits, monitoring, and human review. Be able to explain what it does.
Interagency TPRM	OCC / FDIC / NCUA / CFPB	Every AI vendor tool — including Microsoft Copilot, ChatGPT Enterprise, and AI-enabled core features — requires a third-party risk assessment before deployment.	Do not activate new AI vendor tools without IT and compliance completing TPRM review. Free tier and personal accounts are not exempt from institutional policy.
ECOA / Reg B	CFPB	AI-driven lending and credit models must provide specific, human-readable adverse action reasons. Black-box "score too low" outputs do not satisfy ECOA requirements.	If AI touches any lending or credit decision, adverse action explanations must be traceable, specific, and understandable to the customer — not just the model.
BSA / AML	FinCEN	AI transaction monitoring systems must meet the same documentation and auditability standards as manual SAR processes. AI alerts do not reduce examiner scrutiny.	AI-generated SAR recommendations require human review and approval before filing. Regulatory accountability remains with staff — the AI does not carry that responsibility.
AIEOG AI Lexicon	US Treasury / FBIIC / FSSCC	Published February 2026. Establishes shared regulatory definitions for hallucination, AI governance, AI use case inventory, HITL, third-party AI risk, and explainability.	Align your institution's AI policy language with AIEOG Lexicon definitions. Inconsistent terminology in policy documents creates examination risk.

Examination Context

Per GAO-25-107197 (May 2025), no comprehensive AI-specific banking statute exists. Existing frameworks do the work: SR 26-2 for model risk (it superseded SR 11-7 in April 2026), Interagency TPRM guidance, ECOA/Reg B, and BSA/AML. The AIEOG AI Lexicon (February 2026) establishes the shared vocabulary regulators will use.

AIEOG AI Lexicon

Six Terms Every Banker Needs to Know · Source: US Treasury / FBIIC / FSSCC — February 2026

Regulators will use this vocabulary in AI-related examination findings. Align your institution's AI policy language with these definitions to reduce examination risk. Inconsistent terminology between your policy and AIEOG definitions may be treated as a governance gap.

Hallucination An AI output that is factually incorrect, fabricated, or misleading, presented with apparent confidence. Distinct from ordinary model error — specifically refers to outputs lacking grounding in source data. Regulators treat hallucination risk as a governance and disclosure concern.	HITL (Human-in-the-Loop) A design pattern in which a human reviews or approves AI-generated outputs before they are acted upon. Required for any AI system that makes or influences material decisions affecting customers. HITL cannot be delegated away by policy — it must be operationally enforced.
AI Governance The policies, processes, roles, and organizational structures that define how an institution develops, acquires, deploys, monitors, and retires AI systems. Applies to the institutional AI program as a whole, not to individual models in isolation.	Third-Party AI Risk Risks arising from AI systems operated by vendors or service providers. Interagency TPRM guidance requires the same risk assessment rigor for AI-enabled vendor tools as for any other critical third party — including cloud-hosted AI APIs.
AI Use Case Inventory A structured, maintained record of all AI systems and tools in active use at an institution, including purpose, data inputs, outputs, and applicable risk controls. Treated as a baseline AI governance requirement by examiners and regulators.	Explainability The capacity of an AI system to provide human-understandable reasons for its outputs. For model use, SR 26-2 (which superseded SR 11-7) still expects conceptual soundness, validation, and monitoring. For customer-impacting decisions, ECOA / Reg B requires clear, traceable reasons.

Examination Risk Note

Regulators will use AIEOG Lexicon definitions in AI-related examination findings. If your institution's AI policy uses different terminology for hallucination, HITL, or explainability, examiners may interpret that as a governance gap. Review your AI policy language against this vocabulary before your next examination cycle.